

SECTION-C

Note: Short answer type questions. Attempt any twelve questions out of fifteen questions. (12x5=60)

- Q.21 How does accounting differ from auditing?
- Q.22 Discuss audit as luxury.
- Q.23 Explain four advantages of auditing.
- Q.24 Briefly discuss the objects of auditing.
- Q.25 Explain private audit.
- Q.26 Explain four essentials of a good audit programme.
- Q.27 What are the audit files.
- Q.28 What are the objects of internal control?
- Q.29 State the Audit Plan.
- Q.30 State the disadvantages of internal check.
- Q.31 What are the objects of verification?
- Q.32 Differentiate between verification and valuation.
- Q.33 State the procedure of verification of liabilities.
- Q.34 What do you mean by audit report?
- Q.35 Discuss the types of audit reports.

SECTION-D

Note: Long answer type questions. Attempt any two questions out of three questions. (2x10=20)

- Q.36 What are the different kinds of audit? Give the merits and demerits of each.
- Q.37 State the auditors duties and responsibility with regard to errors and fraud.
- Q.38 Define Internal control and give its objects. What are the different forms of internal control.

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Sub : Auditing

Time : 3Hrs.

M.M. : 100

SECTION-A

Note: Multiple choice questions. All questions are compulsory (10x1=10)

- Q.1 Which of the following best describes an auditor's role?
 - a) Prepares financial reports
 - b) Verifies transactions
 - c) Provides absolute assurance
 - d) Expresses an independent opinion
- Q.2 A number of checks and controls exercised in a business to ensure its efficient working is known as _____.
 - a) Internal check
 - b) Internal control
 - c) Internal audit
 - d) Interim Check
- Q.3 Which of the following is an essential feature of auditing?
 - a) Objectivity
 - b) Creativity
 - c) Forecasting
 - d) Budgeting
- Q.4 Which of the following is a limitation of auditing?
 - a) It ensures 100% accuracy
 - b) It is costless

- c) It can be affected by human error or fraud
- d) It removes the need for accounting
- Q.5 What is typically included in an audit programme?
 - a) The audit fee
 - b) Procedures for each audit area
 - c) Shareholder resolutions
 - d) Annual tax returns
- Q.6 The term "Vouching" in audit refers to :
 - a) Verifying all ledger balances
 - b) Checking physical stock
 - c) Checking documentary evidence for transactions
 - d) Preparing balance sheet
- Q.7 A good internal check system ensures that :
 - a) One person handles all accounting duties
 - b) Errors and frauds can be easily hidden
 - c) Work of one person is automatically checked by another
 - d) Auditors do not need to perform any checks
- Q.8 Internal control is primarily the responsibility of:
 - a) Auditor
 - b) Shareholders
 - c) Management
 - d) Government
- Q.9 The audit report is issued by :
 - a) Company management
 - b) Tax authorities
 - c) Internal auditor
 - d) External auditor

- Q.10 The primary purpose of an audit report is to :
 - a) Calculate tax liability
 - b) Provide a financial forecast
 - c) Express an opinion on the financial statements
 - d) Prepare accounting records

SECTION-B

Note: Objective type questions. All questions are compulsory. (10x1=10)

- Q.11 Internal audit is a part of the ____ control system. (Internal / External)
- Q.12 The preparation of financial statements are the responsibility of _____. (Management / Auditor)
- Q.13 The first stage of the audit process is _____. (Planning / Controlling)
- Q.14 The audit programme is prepared by the _____. (Management / Auditor)
- Q.15 Define Audit evidence.
- Q.16 An audit _____ is a list of audit procedures to be followed. (Programme / Evidence)
- Q.17 The audit report is written before collecting evidence. (True/False)
- Q.18 An audit programme helps in assigning work among audit staff. (True/False)
- Q.19 Auditing helps in increasing the credibility of financial statements. (True/False)
- Q.20 Auditing and accounting are the same. (True/False)